



Next Generation of Policy Frameworks and Modeling

WEEK 2 · JUNE 15-19, 2026

DynareJulia and FPAS Mark II:

Forecasting, Scenario Building, and Risk Analysis

DAY 2 · Tuesday, June 16 — Market Reference & Case A/B

Scenario construction under FPAS Mark II: not a baseline, but a risk-management frame.



Week 2 at a Glance

June 15-19, 2026 — A full policy cycle compressed into five days

DAY 1

Mon · Jun 15

Current Conditions

Data update, weekly briefings, where-is-the-economy-now workflow.

DAY 2

Tue · Jun 16

Market Reference & Case A/B

Scenario construction: market reference, Case A and Case B narratives.

DAY 3

Wed · Jun 17

Taxonomy & Risks

Full taxonomy of scenarios, dark corners, risk assessment.

DAY 4

Thu · Jun 18

Trade-offs & DynareJulia

Policy trade-off analysis and DynareJulia implementation.

DAY 5

Fri · Jun 19

MPR & Communication

Drafting the MPR, Python pipelines, transparency and Board communication.



DAY 2 · TUESDAY, JUNE 16

Why no baseline?

FPAS Mark II starts from markets, not from a single 'most-likely' forecast

THE PROBLEM

The folly of baselines

- Central projections hide uncertainty behind false precision
- Forces markets to coalesce around the central bank's single view
- Discourages open debate about alternative risks
- Leaves policy exposed to drifting into 'dark corners'

THE RESPONSE

Start from the market

- Market Reference = expected policy rate path priced in markets
- Case A: scenarios where a higher rate path is warranted
- Case B: scenarios where a lower rate path is warranted
- Case A and B are illustrative — not probability-weighted forecasts



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Building the Market Reference Scenario

Three synthesized sources — no over-modeling, no false precision

01

Spot market

1-year government bond yields + term-structure inference. A starting point, but noisy due to term-premium volatility and liquidity shocks.

02

Macro survey

Quarterly survey of banks, fund managers, and institutional investors — macro-consistent projections with qualitative narratives.

03

Dealer survey

High-frequency survey of commercial bank and credit organization dealers — captures how participants actually behave, not just how economists forecast.

The MRS is a reference point, not a commitment. It frames the Case A and Case B scenarios.



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Anatomy of Case A and Case B

Two illustrative paths — higher or lower than market expectations

CASE A

Higher path than markets expect

Purpose

Ensure price stability if inflationary risks materialize more strongly than the market has priced.

Typical drivers

- Excess demand, positive output gap, rising core inflation
- Rising global neutral rates, fiscal expansion
- Supply shocks that de-anchor inflation expectations

CASE B

Lower path than markets expect

Purpose

Avoid over-tightening if disinflationary risks materialize or the neutral rate is lower than assumed.

Typical drivers

- Weaker demand, negative output gap, slowing core inflation
- Falling country risk premium, lower neutral rate
- External slowdown, disinflationary supply shocks



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Live example: Armenia Q1 2026 — Case A

Excess demand conditions could require rates above market expectations

THE CASE A NARRATIVE (Q1 2026)

Armenia's growth is above potential, concentrated in demand-driven sectors. Consumption, credit, and core inflation all accelerate.

+9.8%

Q4 2025 real GDP growth

4.7%

Core inflation Y-o-Y, Feb 2026

+10.7%

Real private consumption, 2025

+22.0%

Bank lending growth, Jan 2026

POLICY IMPLICATION

- A possible underestimation of demand pressures by financial markets could further loosen conditions
- Restrain excess demand, limit inflationary pressures, prevent an upward de-anchoring of inflation expectations
- Requires a policy rate path higher than currently anticipated by markets



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Live example: Armenia Q1 2026 — Case B

A falling country risk premium could require rates below market expectations

THE CASE B NARRATIVE (Q1 2026)

Security risks around Armenia have eased since August 8, 2025. Rating outlooks upgraded, capital inflows accelerating.

-25 bp

Country-specific spread decline (post Aug 8)

2×

Outlook upgrades: Fitch (Jan), S&P (Feb)

-0.8 pp

Risk premium per ratings step (Damodaran est.)

~6.25%

Market-expected medium-term neutral rate

POLICY IMPLICATION

- Capital inflows and declining spreads suggest monetary conditions may already be tight
- Prolonged over-tightening increases the risk of a disinflationary environment
- Requires a policy rate path that declines more rapidly than markets anticipate



DAY 2 · TUESDAY, JUNE 16

From narrative to quantified scenario

How the Policy Round Coordinator turns ideas into model-consistent paths

01

Narrative

Start with a coherent economic story — what risks could displace inflation from target?

02

Identify shocks

Translate the story into structural shocks: demand, supply, risk premium, fiscal, external.

03

Quantify

Use semi-structural QPMs and satellite models to produce model-consistent paths.

04

Communicate

Narrative + scenario quantification feed the MPR and Board deliberation.

The narrative comes first. The numbers follow — they do not lead.



Day 2 Takeaways

1

Markets first, not the central bank

The Market Reference Scenario replaces the traditional baseline, ensuring scenarios are anchored in how participants actually see the economy.

2

Two illustrative scenarios

Case A (higher than market) and Case B (lower than market) — each with its own internally consistent narrative, not a probability-weighted forecast.

3

Narrative over numbers

A scenario starts as a story about risk. Quantification follows — and exists to discipline the narrative, not replace it.

4

Ready for Day 3

These two illustrative scenarios live inside a much wider Taxonomy of Scenarios — which we'll explore tomorrow.



Great Things are Coming.



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